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Market Briefs Pro

Read less news

Hey, Pro Briefers!

In 2023, Taylor Swift launched her Eras tour - which ended up generating over $2 billion over a year and a half.

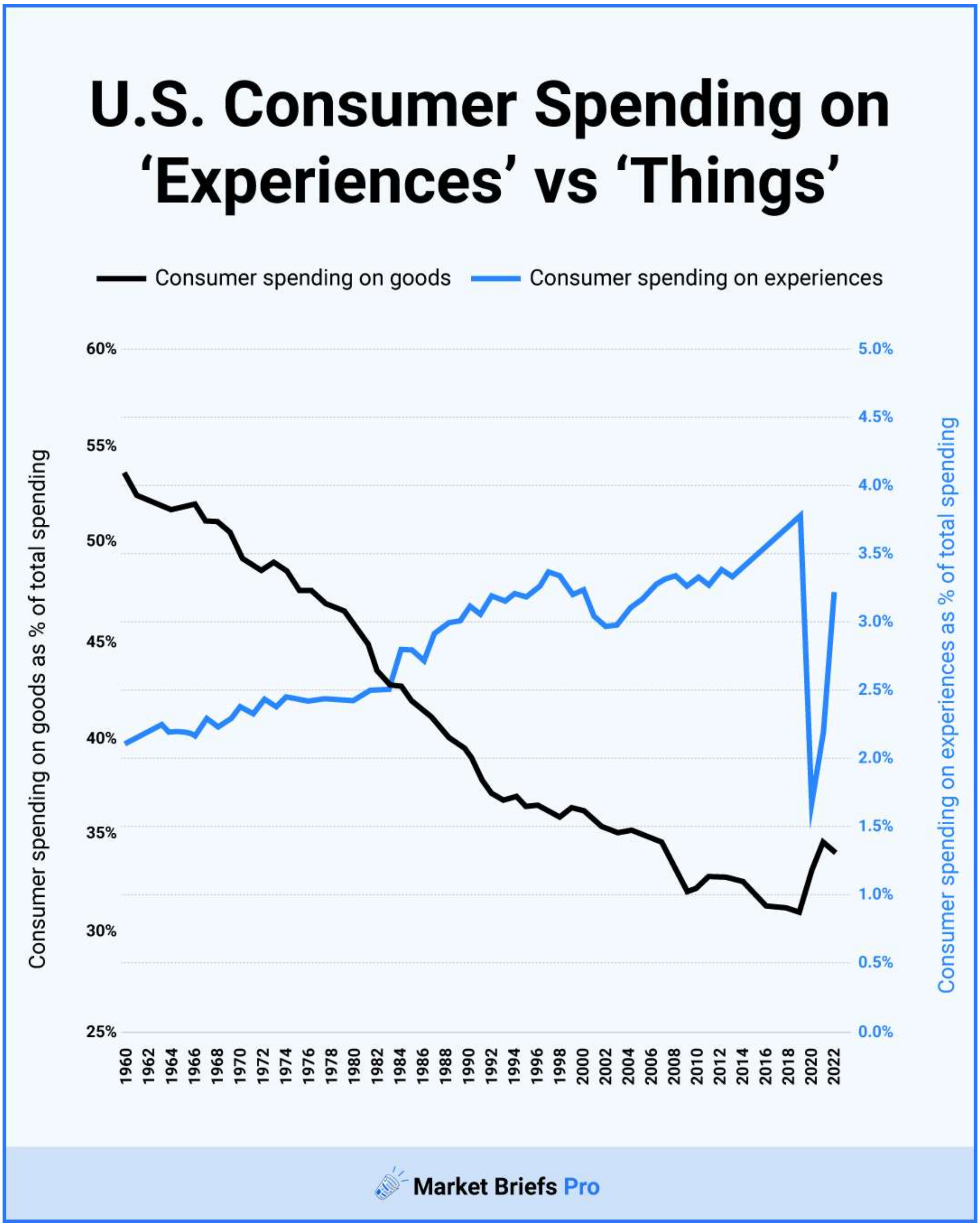
During that same time in 2023 and 2024, Americans were facing higher than usual inflation - CPI inflation reached 3.4% in March 2024.

That meant prices were rising for things like eggs, electronics, and housing.

Even still - Americans packed stadiums across the country to watch Taylor Swift, despite the average resale ticket going for around $3,800, according to Business Insider.

- The CEO of Best Buy claimed that "funflation" (where consumers spend more on experiences over products) hurt Best Buy's bottom line in late 2023.

What's going on? Consumers will pay for a unique experience.



Data via Bureau of Economic Analysis

- PwC estimated that consumers are willing to pay a 13-16% premium for an experience over buying a product.

This is where we have identified a Main Street Shift: The Experience Economy.

Consumers are beginning to increase their spending on experiences, leading to opportunities for businesses and investors to profit.

How? *Consumers want less stuff*. According to CTI Digital, 78% of Millennials would rather spend their extra money on experiences like concerts or theme parks, over products.

That’s created a shift in where Americans spend their extra money.

For instance, businesses like Target and Starbucks have seen sales decline in the last year.

Meanwhile, cruise and entertainment companies like Live Nation (LYV) and Royal Caribbean (RCL) are beating the S&P 500 *(more on them later)*.

- Disney Cruises and parks saw a 92% increase in operating profit in 2024 - its media business only grew by 38%.

- The Savannah Bananas, an entertainment-based baseball team, has seen its revenue rise over 900% in the last three years.

The bottom line: Consumers are shifting their spending into these businesses that are creating unique experiences, leading to increased profits.

Data via Google Finance

And it's not just cruises or concerts - businesses of all types are shifting their models to put the customer experience first.

That's creating opportunities for investors to also profit as company earnings rise alongside share value.

ANALYST TAKEAWAYS

Tickers we're tracking:

Product experiences: BBW
Cruise lines: RCL
Theme parks: PRKS

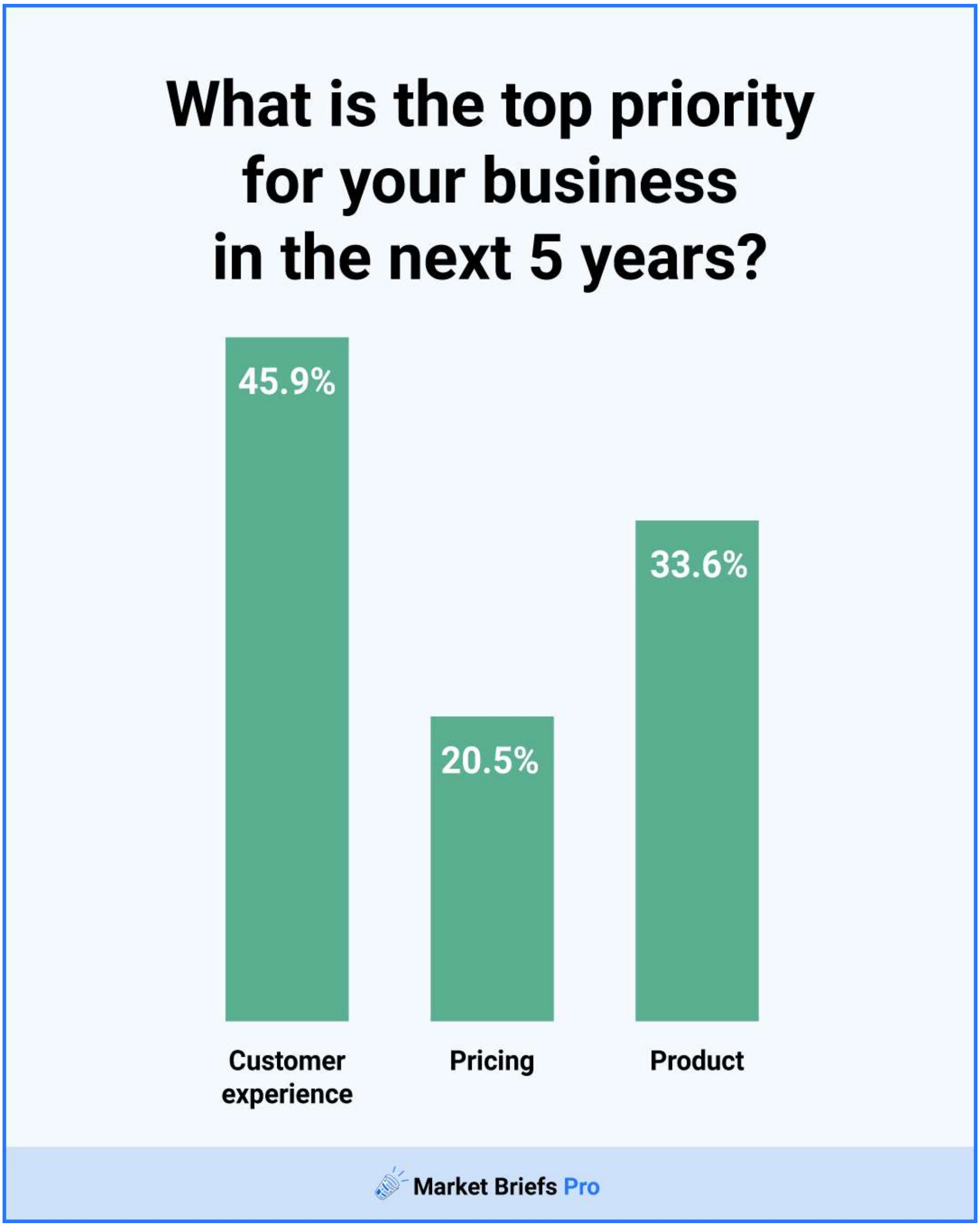
We went deeper into the research - check out more details from this report here.

PRODUCT EXPERIENCES

Build-A-Profit

According to CX, 89% of businesses are predicting that by the end of this year and beyond, they will compete with each other based on the experience they provide, rather than the products they offer.

This means more businesses are focusing on creating a unique customer experience in order to increase sales.



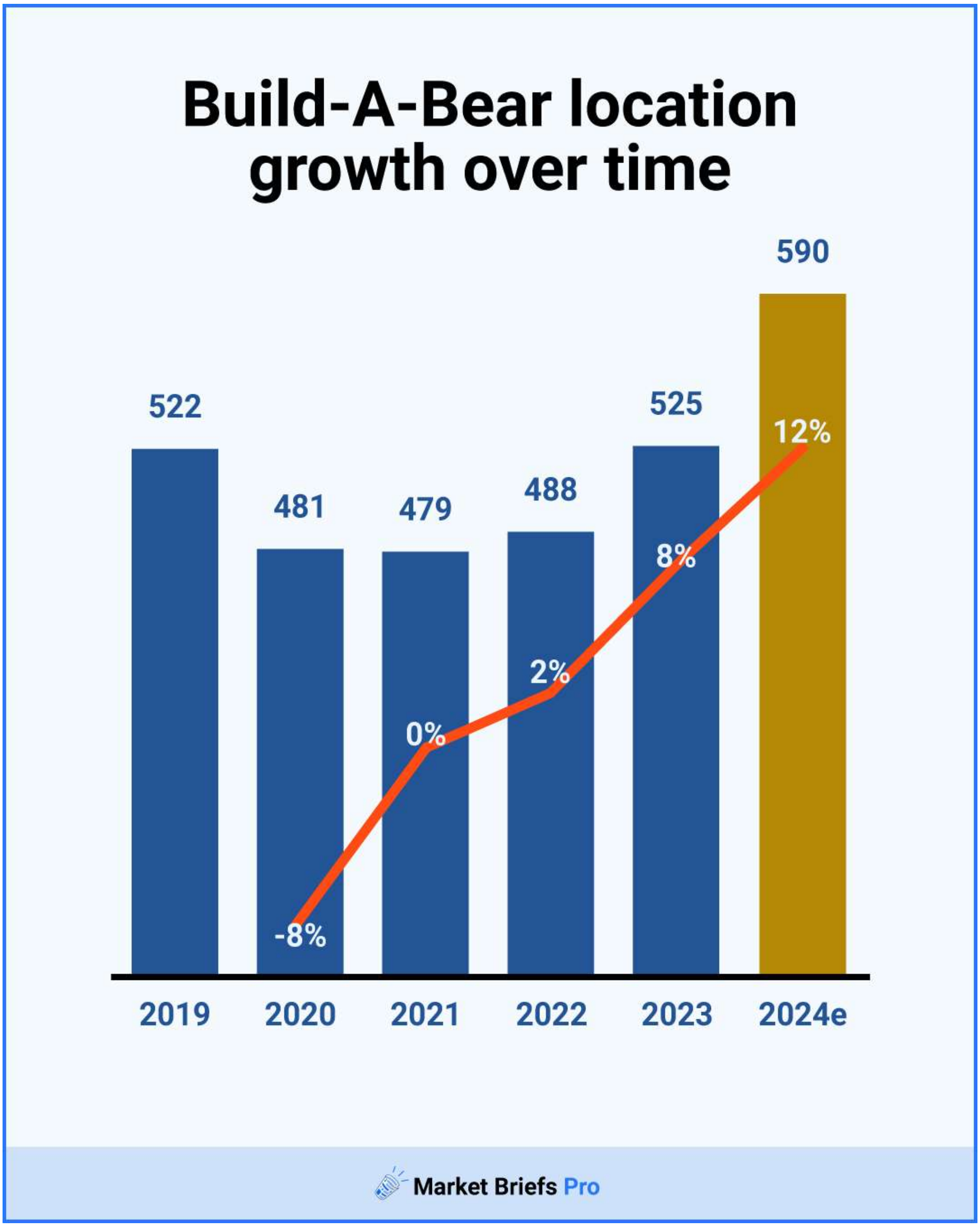
Data via UseResponse

Does it work? Zendesk estimated in 2024 that companies that put a strong emphasis on their customer experience tend to grow five times faster than those who don't.

That strong emphasis on the customer experience is creating opportunities for investors - like Build-A-Bear Workshop (BBW).

What the store does is in the name - they allow people to build teddy bears from scratch.

But, what they really specialize in is helping their customers build a connection to their products.



Data via Build-A-Bear

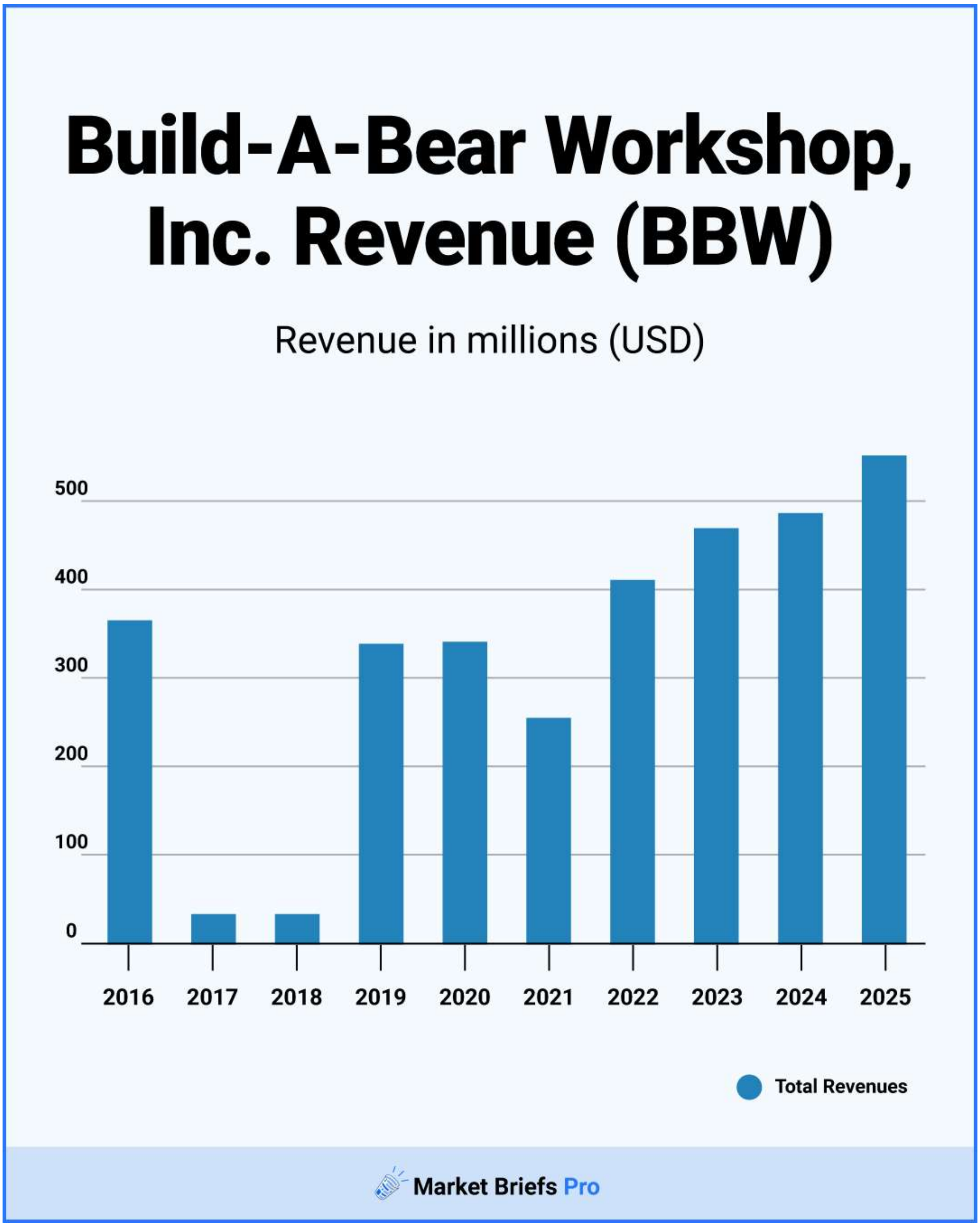
- Building the bear itself is highly personalized, from the materials, to size, name, colors, and more.

That's allowed them to diversify who they sell their products to. As of 2023, nearly 40% of their revenue comes from teens and adults.

Expanding beyond kids has allowed them to grow as well - as of Q1 of this year, the company operates 605 locations nationwide.

- That same quarter, Build-A-Bear opened 15 new locations.

Most of their locations are within malls, which traditionally generate a lot of foot traffic. However, malls have seen a 60% decrease in traffic since 2016.



Data via company 10-K

So, Build-A-Bear has taken the experience online - the company earned $45 million from online sales alone in 2024.

Last year, Build-A-Bear saw its total revenue rise to $469 million, a 13% year-over-year increase.

- It has also managed to increase its revenue every year since 2021.

Build-A-Bear has managed to create a meaningful social experience for its customers that expands beyond age, generation, or even physical stores.

Over the last year, its shares are up 97%, and over the last five years, its shares have increased by more than 2,000%.

Build-A-Bear can continue to see its revenue rise as more people value experiences in our economy.

Data via Yahoo! Finance

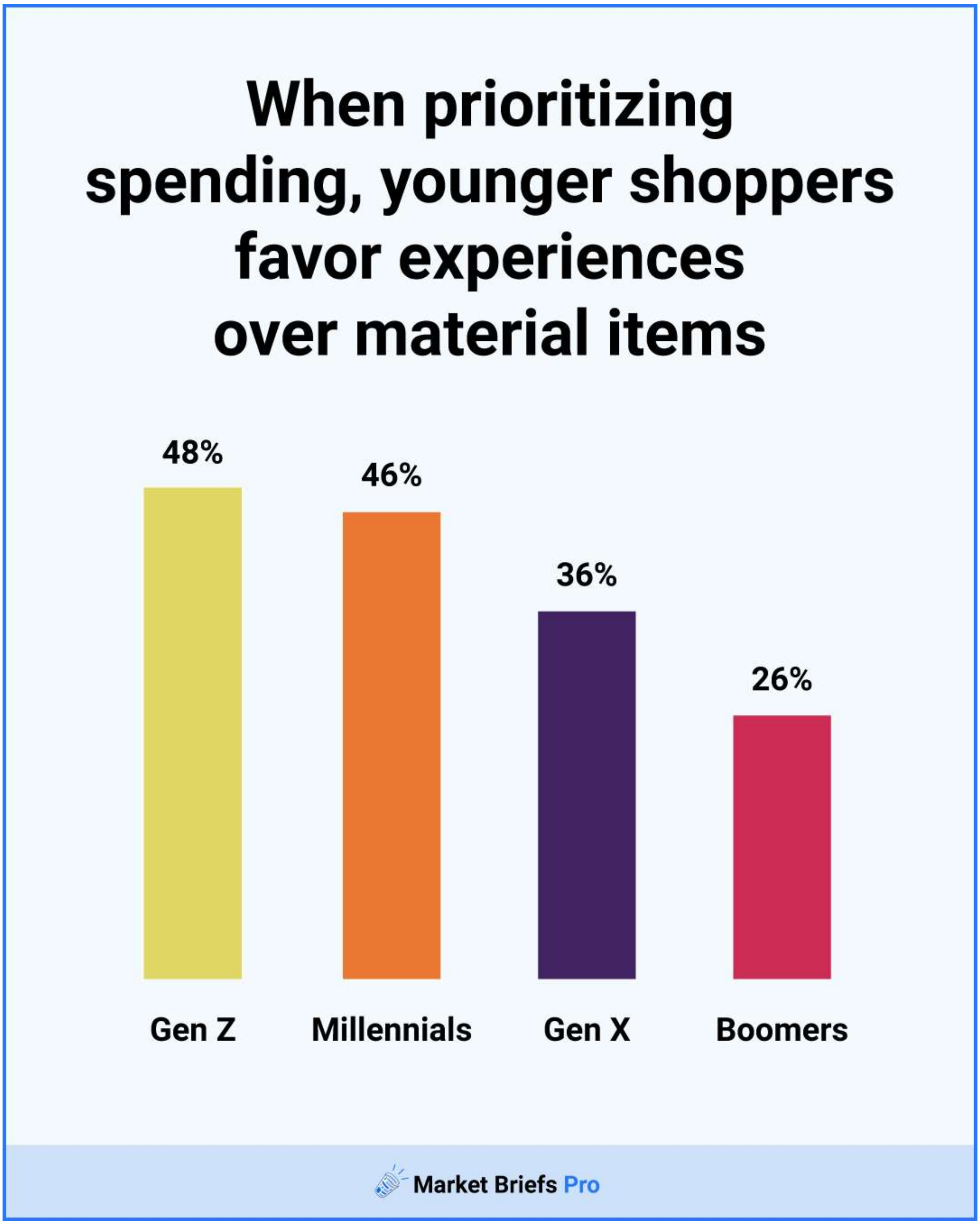
CRUISE LINES

Cruising Through Gains

Over the years, the travel industry has evolved to provide more than just a way to get from point A to point B.

Now, they want to create immersive adventures that people will remember forever.

The World Travel & Tourism Council estimates that travel levels will continue to increase by 5.8% a year every year until 2032.



Data via Ipsos

And this shift is sticky, despite what's going on in our economy.

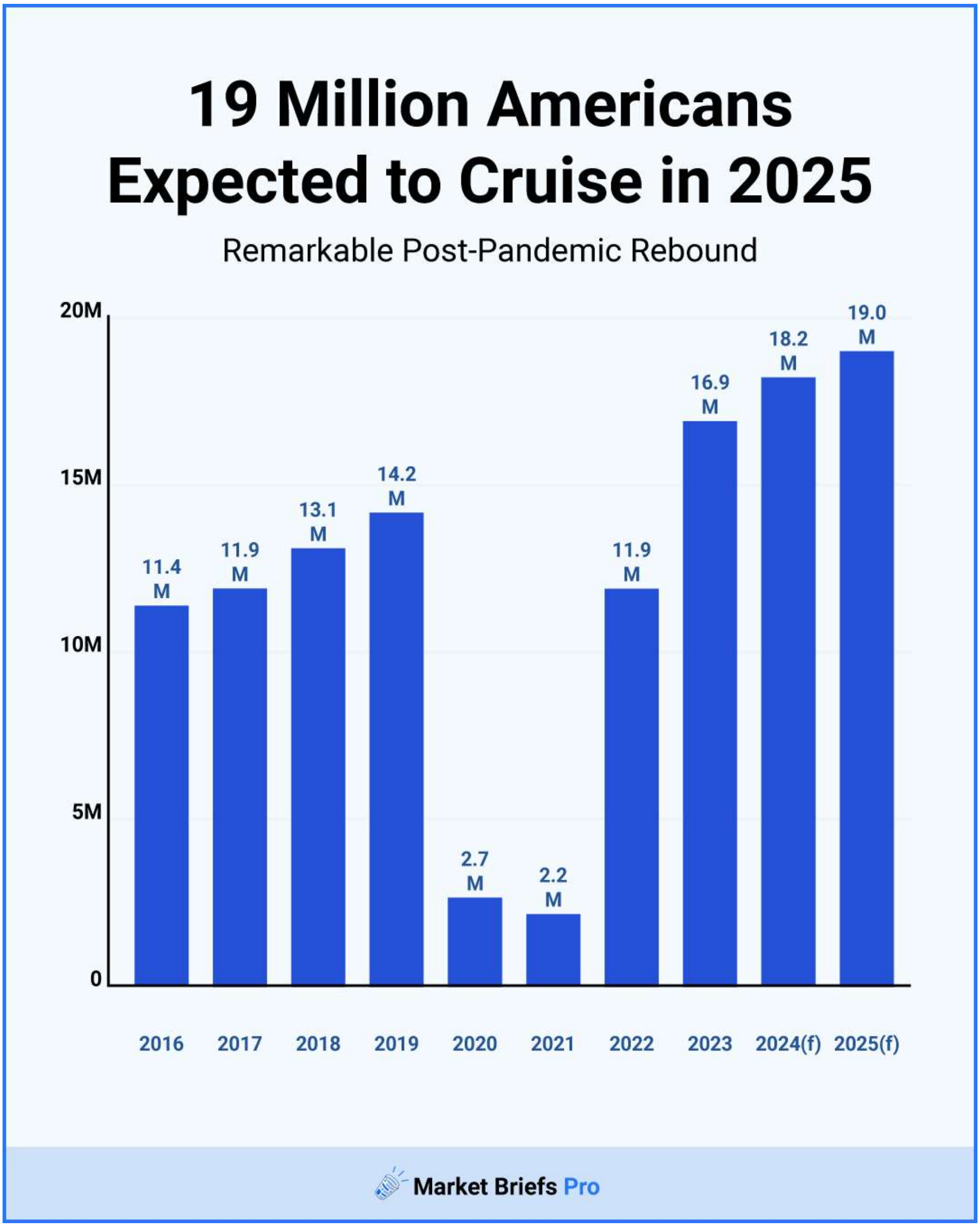
Deloitte published a report in 2023 that showed, despite near record-high inflation levels, Americans still travelled more than they did in 2022.

Note: Part of this growth may have been due to pent-up demand from pandemic-era lockdowns.

Even still, travel has continued to see growth as an industry, as more Americans increase their spending on experiences.

One of the companies that has benefited from this increase in spending is Royal Caribbean.

The company is the largest cruise ship business in the world by market cap and also boasts the largest cruise ships in the world.



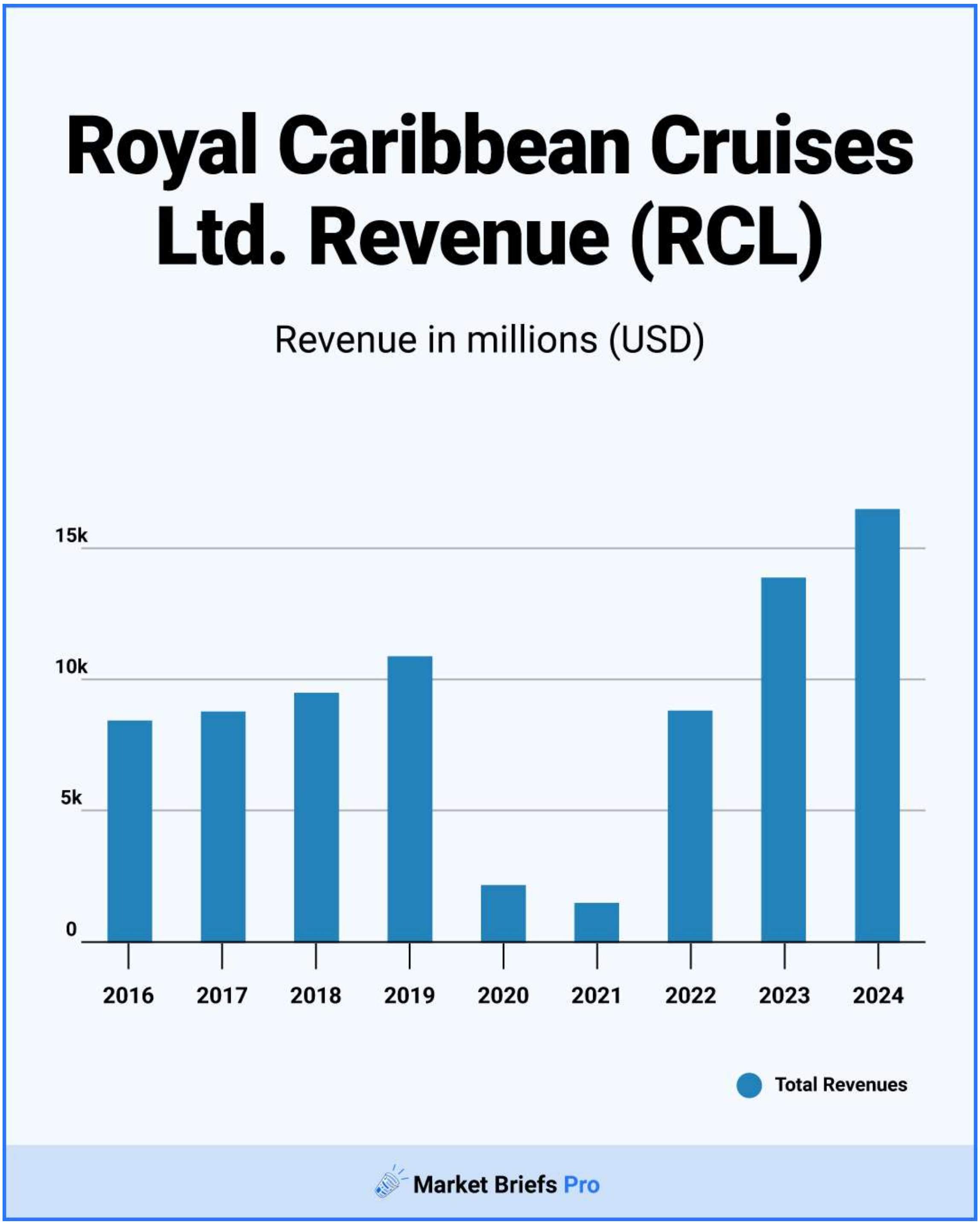
Data via AAA

Why does that matter? The line operates 29 total ships, with 8 of them having 2,400+ rooms.

- More people = more revenue. It carried over 8.6 million passengers in 2024, an increase from 7.6 million in 2023.

These ships act like floating resorts - with on-ship entertainment like shows, rides, restaurants, and more.

And you can only get it while you're on the ship.



Data via company 10-K

Plus, Royal Caribbean takes passengers all over the world, which adds to the experience and repeat customers.

- A survey from Cruise Lines International Association found that 82% of its cruisers would choose them again in the future.

In 2024, Royal Caribbean increased its revenue by 19% year-over-year to reach $16.5 billion.

Millennials and Gen Z are pushing a big portion of these gains for Royal Caribbean, as 50% of its revenue comes from that age group.

Building experiences for Millennials and Gen Z will be key for companies like Royal Caribbean in the future as well.

- They are more likely to spend money on experiences than any other generation, according to Business.com.

Data via Yahoo! Finance

As long as consumers want a unique travel experience, Royal Caribbean should benefit from this shift, especially since it owns almost 25% of the entire cruise market.

THEME PARKS

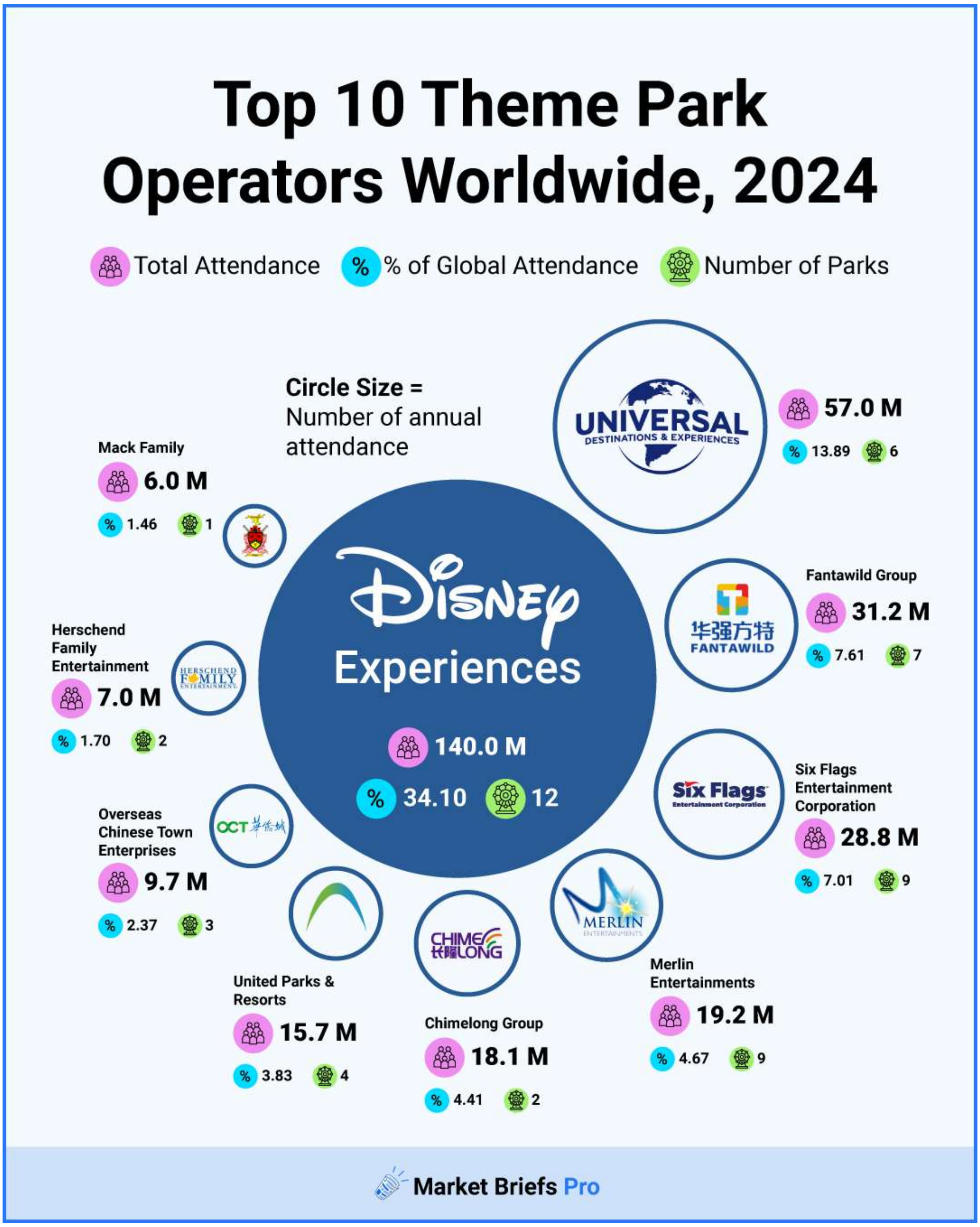
Theme Park Profits

Consumers don’t just want more experiences because they are unique or can take them places - experiences also foster relationships.

Theme parks for instance, allow people to interact directly with the brands they love, while also sharing the experience with other like-minded people.

- Theme park attendance globally increased by 19% in 2023 to a total of 410 million people.

That number is expected to grow to 437 million people by the end of 2025, according to Amusement Park Logic.



Data via MouseNotifier

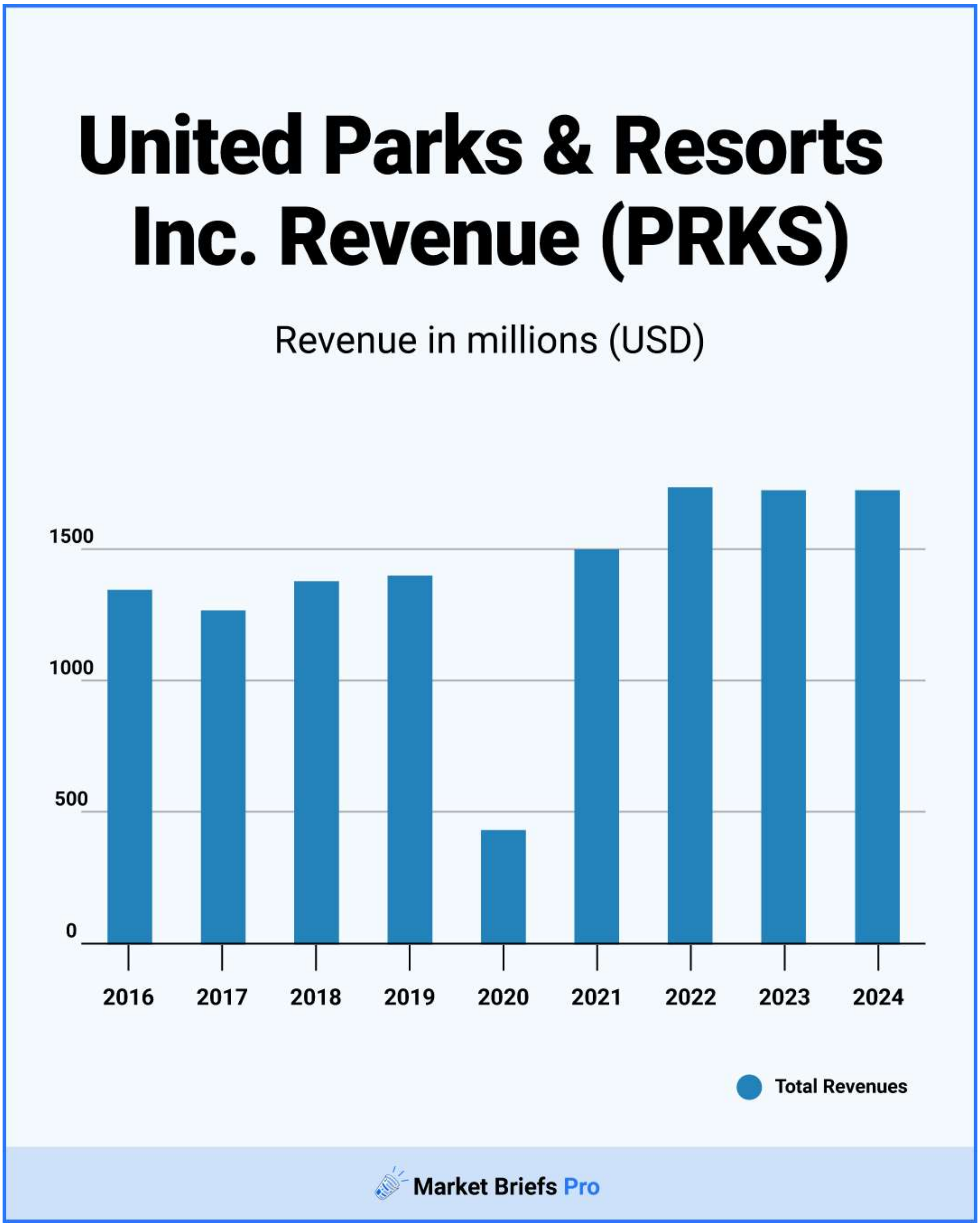
The U.S. has the highest theme park attendance in the world, which gives companies that are based here a unique advantage in the industry.

One of those major theme park companies is United Parks & Resorts (PRKS).

By the numbers: The company owns 13 theme parks across the world, with 12 in the U.S. - the majority of these are Busch Gardens or SeaWorld locations.

- United Parks also had 21 million visitors at its parks last year, making it the 7th largest theme park company by attendance - it also generated $1.7 billion, a slight decrease from 2023.

Most of its parks are located on the U.S. east coast, and bad weather in 2024 caused some of its parks to unexpectedly close for a short time.



Data via company 10-K

With a decrease in revenue, why should investors be excited about United Parks & Resorts?

Beyond just its live shows, thrill rides, and dining experiences that create memorable social experiences, the parks are still focused on growing.

The company is expanding beyond the U.S. to new markets overseas - it has one of the only theme parks currently operating in the Middle East.

And while revenue for the company dipped, spending per-capita at their parks reached $80 last year, an all-time high - so people are spending more than ever once they are in the parks themselves.

This helped offset some of the losses from its temporary park closures.

Data via Yahoo! Finance

$80 in per-capita spending is still below leaders like Disney World, which boasts a $300-400 per capita range.

But, the spending per-capita growth, along with its international growth plans, are positioning it to be a leader in the theme park space for years to come.

Passive Options for this Shift

Investors looking to passively invest in companies creating new innovative experiences for consumers also have some options.

The Invesco Leisure and Entertainment ETF (PEJ) gives investors exposure to companies in the cruise, airline, and broader entertainment industry.

Invesco Dynamic Leisure and Entertainment ETF (PEJ) top holdings

TICKER	COMPANY	% OF FUND
UAL	United Airlines Holdings Inc	5.82
RCL	Royal Caribbean Cruises Ltd	5.61
DASH	DoorDash Inc	5.54
LYV	Live Nation Entertainment Inc	5.18
SYY	Sysco Corp	5.15
BKNG	Booking Holding Inc	4.62
MCD	McDonald's Corp	4.50
DRI	Darden Restaurants Inc	4.42
SRAD	Sportradar Group AG	3.27
SGHC	Super Group SGHC Ltd	3.27

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Data via Invesco

- 58% of its 32 holdings are in the hotel, leisure, and entertainment space.

There’s also the Consumer Discretionary Select Sector SPDR Fund (XLY).

Consumer Discretionary Select Sector SPDR Fund (XLY) top holdings

Name	Shares Held	Weight
AMAZON.COM INC	22,967,998	23.26%
TESLA INC	11,124,116	16.36%
HOME DEPOT INC	3,945,793	6.92%
MCDONALD S CORP	3,175,648	4.30%
BOOKING HOLDINGS INC	175,286	4.21%
TJX COMPANIES INC	6,255,650	3.65%
LOWE S COS INC	3,136,022	3.48%
STARBUCKS CORP	6,367,540	2.58%
NIKE INC CL B	6,601,434	2.21%
O REILLY AUTOMOTIVE INC	4,790,060	2.13%

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Data via State Street

This ETF focuses on the types of businesses where consumers often spend their extra money.

50% of its portfolio is mixed between the hotel, leisure, and entertainment industries and the broader retail space.

What does that mean? It’s less focused on companies that make their business creating experiences, when compared to the ETF from Invesco.

Data via Google Finance

But it does give investors exposure to other types of companies in the traditional retail space that are increasing their focus on the experiences of their customers, despite mainly selling products rather than services.

RISKS

Not-so-good Experience

When we discuss consumers - systematic risk is always something investors will want to be aware of.

This is the type of risk that can't be diversified away.

In other words, a recession or economic slowdown would prevent people from spending money on experiences.

In addition, our research indicates that this is a long-term shift, but there's always a chance consumer preferences could change.

Lastly, in order for unique experiences to remain unique, businesses will need to continue to innovate in this space.

As more companies compete on experiences in the future, they will need to constantly up their game in order to stay relevant and remain profitable.

REVIEW

The Future of the Experience Economy

From Taylor Swift to summer cruises at sea, consumers want more experiences.

Studies even show that Millennials and Gen Z are willing to pay more in order to get a better experience, whether that be at a theme park, or in a shopping mall.

That's creating an opportunity for businesses that focus on creating unique experiences in retail, travel, and theme parks to profit.

And as these companies increase their profit, investors will also benefit and potentially experience profits of their own.

- Briefs Pro Team

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Why? Because we believe in practicing what we preach (and preaching what we practice).

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You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.